

Software

Cybersecurity & Observability Remain Resilient

Bottom Line:

This week, we attended user group and analyst events for DDOG, ZS, and RBRK, and we offer our thoughts herein. In cybersecurity, one speaker suggested that breaches will get worse in the coming months, which we believe will trigger more security spending. More broadly, we believe that both cybersecurity and observability have durable, AI-enhanced growth trends, which can help support valuation multiples. We are not changing our estimates or ratings at this juncture. We are raising our target price on DDOG from \$220 to \$260, and we are maintaining our target prices for both RBRK and ZS, both of which have recently reported.

Key Points

Narratives Matter

Throughout the year, we have been emphasizing that AI narratives have been the key driver of stock performance, significantly more so than estimate revisions. We think this trend is particularly apparent in subsegments like security and IT services. As we evaluate our coverage universe, along with related, non-covered companies, we believe there are distinct sets of multiples assigned to perceived AI leaders and perceived AI laggards. For example, the average NTM EV/FCF multiple of DDOG, MDB, and SNOW (perceived AI leaders) is 54x vs. the average NTM EV/FCF multiple of ADBE, CRM, HUBS, NOW, PATH, SAP, TEAM, and WDAY (perceived AI laggards) of 13x. Even normalizing for revenue growth, the perceived AI leaders trade at a multiple premium of over 100% vs. the perceived AI laggards on an (EV/FCF)/revenue growth basis.

In security, we believe two stocks have emerged as consolidation leaders: PANW and CRWD. Together PANW and CRWD trade at an average multiple of 63x EV/FCF and 2.8x (EV/FCF)/revenue growth. Hence, we think investors have assigned a significant premium to leading security companies that benefit from: 1) AI narratives; and 2) positive industry consolidation trends within security. In IT services, we believe the sector remains pressured by ongoing concerns around growth durability due to meaningful AI efficiency gains, particularly related to software development, which can disrupt industry pricing and growth.

In a normalized environment, we would expect positive estimate revisions to drive positive stock performance, and multiple expansion to accompany positive estimate revisions. Hence, investors typically assign higher terminal values to said companies, which leads to positive stock performance driven by both estimate revisions and multiple expansion. We think narratives, or multiple revision, have significantly outweighed estimate revision this year. For example, OKTA has had ~1% positive revenue estimate revisions in CY26/CY27, and negative FCF revisions, yet the multiple has expanded by 37% YTD. HUBS has had 2%+ revenue estimate revision for both CY26 and CY27, but its multiple has contracted 58% YTD. For OKTA, while its multiple does not imply it is a security leader, we think the stock has moved away from being perceived as an AI laggard, which has helped multiple expansion. **OKTA remains our Top Pick**, post our upgrade in the beginning of CY26.

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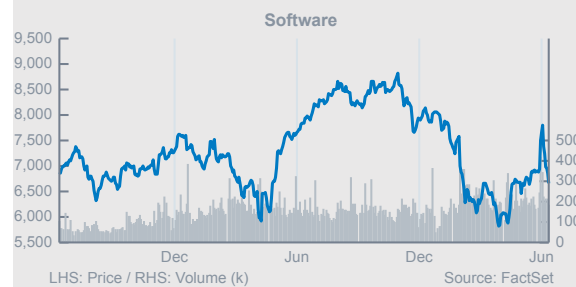
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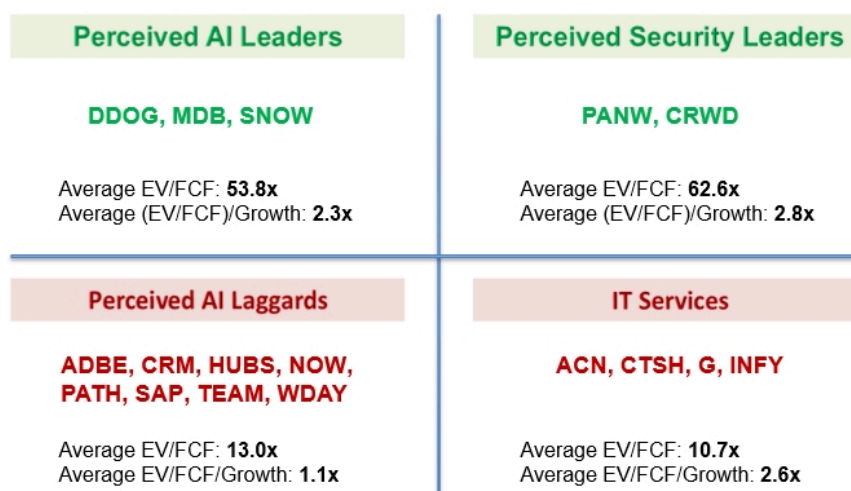
Industry
Research

Glossary

For HUBS, despite positive estimate revisions, we think SMB applications, particularly those focused on marketing, have largely yielded a laggard stock narrative. Finally, we do not envision this narrative overlay to valuation changing in CY26. More specifically, we believe that “guilty until proven innocent” likely remains for the balance of CY26 for perceived laggards. For companies that can produce steady growth over time, which in our opinion means into CY27, we think depressed multiples could experience some positive re-ratings.

Exhibit 1 - BMO AI Perception vs. Valuation Quadrant

AI Perception vs Valuation



Source: BMO Capital Markets, FactSet

Exhibit 2 - Coverage Estimate Changes vs. Valuation Multiples

	Change in CY26 Est			Change in CY27 Est			Price Change %	Price Change vs. S&P500	NTM EV/FCF Multiple on 1/1/2026	NTM EV/FCF Multiple on 06/08/2026	% Change in NTM EV/FCF Multiple
	Rev	FCF	Sum	Rev	FCF	Sum					
FTNT	4.0%	8.4%	12.4%	4.2%	6.9%	11.0%	80%	72%	23.8x	37.3x	57%
DDOG	5.7%	3.5%	9.2%	5.7%	1.4%	7.1%	70%	62%	41.8x	64.3x	54%
PANW	11.5%	7.8%	19.3%	15.9%	14.1%	30.1%	45%	36%	29.4x	41.7x	42%
CRWD	1.2%	-0.2%	1.1%	1.4%	0.5%	1.8%	41%	32%	64.9x	83.5x	29%
OKTA	0.8%	-3.7%	-2.9%	0.8%	-0.9%	-0.1%	35%	27%	14.7x	20.2x	37%
ORCL	2.2%	-30.7%	-28.5%	1.7%	-68.8%	-67.2%	9%	0%	NM	NM	NM
DT	1.8%	1.2%	3.0%	2.3%	0.5%	2.8%	-3%	-11%	20.6x	18.6x	-10%
IBM	1.9%	6.2%	8.1%	2.0%	10.5%	12.5%	-5%	-13%	22.3x	19.7x	-12%
RBRK	4.0%	18.2%	22.2%	2.3%	1.4%	3.7%	-6%	-14%	59.5x	41.5x	-30%
SAIL	-0.6%	-2.3%	-3.0%	-1.8%	0.0%	-1.7%	-13%	-21%	57.2x	40.7x	-29%
MSFT	1.7%	-29.2%	-27.5%	3.4%	-41.3%	-37.9%	-15%	-23%	46.7x	68.9x	48%
MDB	2.1%	16.8%	18.9%	3.3%	17.8%	21.0%	-16%	-24%	67.7x	44.1x	-35%
SAP	-1.1%	5.1%	4.0%	-2.1%	1.6%	-0.4%	-25%	-33%	25.5x	16.9x	-34%
NOW	3.2%	0.5%	3.7%	3.2%	4.0%	7.2%	-25%	-34%	29.2x	19.4x	-34%
ADBE	0.1%	2.1%	2.2%	-0.1%	-0.4%	-0.4%	-30%	-38%	14.4x	9.2x	-36%
CHKP	-2.6%	1.3%	-1.4%	-2.5%	-0.9%	-3.4%	-30%	-39%	16.5x	10.6x	-36%
G	0.3%	13.7%	14.0%	0.2%	21.1%	21.3%	-31%	-39%	15.2x	9.1x	-40%
INFY	-1.9%	-3.8%	-5.7%	-4.3%	-6.2%	-10.5%	-31%	-39%	21.8x	15.0x	-31%
CRM	0.1%	-2.2%	-2.1%	0.0%	-5.6%	-5.6%	-31%	-39%	16.5x	12.2x	-26%
PATH	1.9%	-1.2%	0.8%	2.3%	-0.9%	1.4%	-32%	-40%	17.9x	10.6x	-41%
ACN	0.2%	12.2%	12.4%	0.1%	10.5%	10.6%	-35%	-43%	16.6x	9.4x	-43%
CTSH	1.1%	-8.0%	-6.9%	0.6%	-1.0%	-0.4%	-36%	-44%	14.9x	9.5x	-36%
DXC	-0.8%	-5.5%	-6.3%	-1.3%	NM	NM	-39%	-47%	7.9x	7.0x	-12%
TEAM	0.6%	-9.0%	-8.4%	-1.4%	-4.6%	-6.0%	-40%	-48%	21.4x	12.7x	-41%
ZS	0.0%	-14.4%	-14.5%	-2.2%	-13.7%	-15.9%	-43%	-51%	34.3x	20.5x	-40%
NTSK	1.7%	-22.8%	-21.1%	1.2%	5.8%	6.9%	-46%	-54%	196.6x	72.3x	-63%
HUBS	2.6%	7.0%	9.6%	2.0%	5.9%	7.9%	-48%	-56%	28.2x	11.9x	-58%
NABL	0.6%	10.9%	11.5%	0.3%	1.3%	1.7%	-53%	-62%	22.0x	10.8x	-51%
Median	1.2%	0.8%	1.6%	1.0%	0.5%	1.7%	-27.7%	-35.9%	22.3x	18.6x	-33.5%
Mean	1.5%	-0.7%	0.9%	1.3%	-1.5%	-0.1%	-12.7%	-20.9%	35.1x	27.3x	-17.5%
High	11.5%	18.2%	22.2%	15.9%	21.1%	30.1%	80.1%	71.9%	196.6x	83.5x	
Low	-2.6%	-30.7%	-28.5%	-4.3%	-68.8%	-67.2%	-53.5%	-61.7%	7.9x	7.0x	

Source: FactSet

Gets Worse Before It Gets Better

We attended a keynote at Rubrik's event in which Jason Clinton, Deputy & Founding CISO of Anthropic, spoke on the current state of AI, which we found interesting. Essentially, his message was that Mythos will become more widely available in a few quarters and will be increasingly used by bad actors. Further, he also indicated that in six to ten months, cyber criminals will likely use Mythos to exploit software vulnerabilities to a much greater extent than they are today. Hence, breaches are likely to grow significantly in this period of time and last for 12-18 months. Similar to key themes gathered at Gartner Security Conference, we believe that organizations will need to spend on cyber budgets to get ready for this likely outcome. We would also add, as noted below, that some incremental security budgets are and will be carved from non-IT budgets, including from areas such as operations and marketing as examples.

ZS - Making the Case

Digging Out: Given the last earnings call and disappointing preliminary FY27 ARR growth guidance of 16-17% y/y, we believe that ZS will remain comfortably in the penalty box in the near term. While management continues to suggest that guidance is conservative, we think investors will nevertheless remain in "wait and see" mode. However, we offer a few points. First, Zscaler's stock is deeply discounted relative to other security names, hindered by recent guidance and concern that the SASE market is maturing. However, we believe that ZS's new solutions can help expand market growth opportunities over time, even as ZS faces more competition in the traditional SASE market. Moreover, if ZS can maintain NRR in the mid-teens range (115% in Q1), the 16% to 17% ARR growth does not seem like a stretch and does not require much contribution from new logos, in our judgment. We like the risk/

return of ZS given current valuation and sentiment, particularly since we believe that cyber spending will remain resilient and likely improve in the next year.

Panel Leads to Identity: ZS hosted an interesting panel, and one of the themes that surfaced was that **identity is one of the keys, if not *the* key, to adopting and safeguarding AI**. According to the panel, identity is a control plane that needs to leverage least privileged access, and be dynamic and real time. Our opinion is that vendor identity offerings are still maturing and market demand will grow as offerings expand. Data security was second on the list, according to one panel member. Interestingly, the panel suggested that incremental security AI budgets will be generated from non-security sources, or taken from other areas of business spend.

We note that Zscaler is making a push into identity in terms of the governance layer, not the access layer. More specifically, Zscaler seems comfortable partnering with Okta and Microsoft for the access layer. However, in terms of monitoring, limiting, and potentially terminating (kill switch) the behavior of agents, Zscaler's claims sound remarkably similar to SailPoint's, Okta's and CyberArk's value proposition. Further, Zscaler management suggest that the ability to inspect traffic in real time provides competitive advantages for agentic governance vs. traditional identity companies. We note that SailPoint has indicated that its AI governance solutions offer dynamic management, meaning they continuously monitor and adapt, and can enforce policies in real time. Net, as we have said in the past, we think identity is an enabler of agentic adoption, and is thus a meaningful opportunity for companies that can offer credible solutions. Further, we do not think this is a winner-take-all market, and there will likely be a number of companies that benefit. We had not previously considered ZS as part of this group, and we will look to monitor progress in identity based on customer and partner feedback.

Leadership Changes and Logos: Mike Rich, CRO, offered a few perspectives. First, the recent leadership changes were notable only in that two leaders left at the same time, including one for an intriguing AI startup. Mike offered a view that ZS has a deep bench and can attract top talent. Second, ZS has focused too much on upsell and cross-sell, which typically are easier deals to close than new logos. However, new logos are needed to sustain growth over time. Hence, ZS will change comp plans to incentivize new logo growth. Third, and related to the point above, ZS will target potential customers with 2K to 10K seats, which is typically smaller than the typical ZS customer.

Platform Approach: ZS announced several new solutions targeting AI use cases, and numerous new features and upgrades of existing product lines. Unsurprisingly, most of the investor and user discussions (at least that we were a part of) revolved around AI. In our opinion, the high-level message from management is that **Zscaler is: 1) a complete security platform; and 2) best equipped for AI security, largely due to in-line, real-time traffic inspection, which is required in an AI era**. Management revisited past themes, including the notion that firewalls and firewall-based SASE architectures leave vulnerabilities in place and add both complexity and cost. Moreover, with each employee potentially owning or using a large number of agents (close to 100 per employee according to a recent PANW meeting we attended), and some agents acting autonomously, the need for real-time governance and actions increases. Despite Zscaler management's comments on firewalls, we note that firewall demand, which in our opinion is largely driven by traffic, has meaningfully increased in the last quarter, and will remain elevated for the balance of CY26 in our view.

From Zenith Live 26, we highlight a few announcements:

- Zscaler AI Broker helps secure agentic communications through MCP and AI brokers. With an integrated Agent Registry, AI Broker helps companies understand an agent's permissions, including what the agent is allowed to access.
- Zscaler Endpoint AI Security helps customers find and stop AI-related threats on employee devices, including risks hidden in browsers, plugins, extensions, and local AI tools.
- ZAgent Framework orchestrates Zscaler agents across the Zero Trust SASE platform to automate and simplify administration.

Zscaler announced new features to AI Protect for AI Asset Management, Secure Access to AI, and Secure AI Infrastructure. On the last earnings call, management disclosed that AI Protect is resonating with

customers, with bookings crossing \$100 million over the past 12 months. While previously announced, the recent acquisition of Symmetry had high visibility and discussion on the show floor. Symmetry is used to map how identities, applications, and data connect across the enterprise, and will help identify and establish agentic policies and thus provide competitive advantage for Zscaler.

Expanding AI Guardian: Zscaler announced expansions to partners aligned with AI Guardian. Through the Zero Trust Exchange, Zscaler AI services will integrate directly with technology alliance partners. The integration includes the AI Access Graph (Symmetry). New technology partners include AWS, CoreWeave, Databricks, Glean, Google Cloud, OpenAI, Saviynt, along with new GSI partners.

Red Canary Overhang: While not formally discussed at the analyst event, we believe that investors remain circumspect on the Red Canary acquisition, particularly since management indicated the preliminary FY27 outlook assumes that Red Canary ARR growth is slower than consolidated ARR growth. Further, we think investors will remain skeptical on future M&A, at least in the near-term, given disappointment in Red Canary thus far.

ZS – Attractive Valuation: We are not making any changes to our ZS target price or estimates at this juncture, and we retain our Outperform rating. While we think investors will likely continue to harbor some concerns mentioned above regarding SASE market growth potential and Red Canary execution, we highlight ZS’s increasingly attractive valuation vs. other best-of-breed security peers. ZS is the least expensive stock vs. RBRK, CRWD, DDOG, SAIL, and PANW on CY27 revenue and FCF multiples, including relative to CY27 revenue growth, based on consensus estimates. For example, ZS currently trades at an EV/CY27E FCF multiple of 17x and an EV/CY27E FCF to revenue growth multiple of 1.0x vs. the best-of-breed security peer median of 36x and 1.9x, respectively. ZS has an SBC FCF percentage of about 88%, which is similar to 81% for CRWD and 82% for DDOG, and well below the SBC FCF percentages of RBRK and SAIL, based on FactSet estimates. To be clear, we think PANW and CRWD deserve premium valuations relative to ZS, given our view that these companies have better consolidation stories. Nevertheless, **we envision upside tension to ZS’s multiple if the company can generate incremental traction in new solutions and deliver upside to preliminary FY27 ARR guidance.**

Exhibit 3 - Security Leader Comps

Company Name	Ticker	Market Cap	EV/Rev		EV/FCF		Rev Growth		FCF Margins		EV/Rev to Rev Growth		EV/FCF to Rev Growth	
			CY2026	CY2027	CY2026	CY2027	CY2026	CY2027	CY2026	CY2027	CY2026	CY2027	CY2026	CY2027
Rubrik, Inc. Class A	RBRK	14,526	8.6x	7.1x	47.5x	34.6x	26.3%	21.7%	18.1%	20.4%	0.33x	0.33x	1.8x	1.6x
Crowd Strike Holdings, Inc	CRWD	167,040	27.9x	22.9x	93.1x	71.0x	23.3%	21.7%	30.0%	32.3%	1.20x	1.06x	4.0x	3.3x
Zscaler, Inc.	ZS	20,049	5.1x	4.4x	21.5x	17.3x	20.9%	16.6%	24.0%	25.6%	0.25x	0.27x	1.0x	1.0x
SailPoint, Inc.	SAIL	8,305	6.3x	5.3x	42.0x	28.8x	45.5%	18.2%	15.0%	18.6%	0.14x	0.29x	0.9x	1.6x
Datadog, Inc. Class A	DDOG	83,024	18.3x	15.2x	69.5x	56.4x	26.8%	20.8%	26.3%	26.9%	0.68x	0.73x	2.6x	2.7x
Palo Alto Networks, Inc.	PANW	210,839	16.6x	14.2x	44.3x	36.4x	22.4%	17.2%	37.5%	38.9%	0.74x	0.82x	2.0x	2.1x
Mean			13.8x	11.5x	53.0x	40.7x	27.5%	19.3%	25.2%	27.1%	0.56x	0.58x	2.1x	2.1x
Median			12.6x	10.6x	45.9x	35.5x	24.8%	19.5%	25.1%	26.2%	0.51x	0.53x	1.9x	1.9x

Source: FactSet

Rubrik – From Backup to Board

In our opinion, the primary takeaway message from Rubrik’s analyst event is that: 1) threats and breaches will grow in the agentic era; 2) secure backup and restores will grow in importance; 3) Rubrik is expanding client reach to not just operational teams but CISOs, CIOs and even indirectly to board members; and 4) Rubrik’s portfolio is expanding. Further, as leadership teams recognize the growing importance of Rubrik’s solutions, Rubrik’s ability to cross-sell and upsell increases. Rubrik offered a total TAM estimate of \$125 billion, growing at a 20% CAGR though 2029, inclusive of a \$40 billion AI market growth opportunity. Finally, we spoke with a few partners at the event who echoed comments made by Rubrik, Cohesity, and Veeam management teams that pricing is not impacting demand at present. Bottom line – **we leave Rubrik’s customer event remaining bullish, since we think secure backup and restores are growing in importance, and Rubrik has leading capabilities, in our judgment.**

Growing Vulnerabilities: In the old world, which is presumably defined as the pre-AI era, humans managed many aspects of security manually, including restores post breach/disruption. Going forward,

we believe humans will not be able to effectively respond to the scale and speed of AI attacks with manual processes. AI is reducing the cost of initiating attack to close to zero, and the time from intrusion to breach is also compressing. As agents proliferate and both unstructured and structured data grow, security capabilities need to improve, expand, and get faster through automation, including for backup and restores.

Rubrik AI: Given the challenges noted above, Rubrik is introducing Rubrik AI. With this solution, Rubrik is increasing the level of automation for backup and restores. With Rubrik's preemptive recovery engine, which is natively built into RSC, agents understand where customers' sensitive data is located and who has access. In addition, data is proactively indexed and classified during "peacetime," which enables automated, quick restores post breach. Organizations also define their minimum viable business (MVB), which denotes the systems and applications absolutely necessary for core business operations, and enables customers to quickly and cleanly restore core business functions. From our time at Gartner last week, we heard concerns from users about generating "clean restores," or restoring data that does not contain viruses or malware. Hence, for Rubrik's solution, humans are supervising, instructing, reviewing, and approving, while much of the restore process is performed by agents. Embedded in the messaging for Rubrik's solution is that the **risk of breaches is increasing, and that organizations need to "assume breach," or plan as if a future breach is inevitable.**

Rubrik Agent Cloud: While there seems to be demonstrated growing interest in Rubrik's identity offering (\$50 million in 1 year), we believe Rubrik Agent Cloud is still being evaluated by clients. Moreover, there are numerous solutions proposed by different vendors that offer similarly sounding value propositions, as noted above with Zscaler. Rubrik's Agent Cloud has three parts: 1) agent monitoring, or an orchestration layer; 2) agent guardrails to help define behavior; and 3) agent remediation, to change agent purpose or behavior when necessary. Broadly, organizations need to understand what agents are accessing, determine if actions are in violation of policy, and if agents make mistakes, rewind the activity. We note that Rubrik has been successful expanding into adjacent markets, starting with Data Center, then adding Cloud, SaaS, Data Security, and Identity. Further, we don't question the need or value proposition Rubrik is outlining with Agent Cloud. However, as we noted in past writings, Agent Cloud is a new solution category with likely new buyers. Net, we think Rubrik can comfortably meet or beat our/street numbers for the next few quarters, and if Agent Cloud generates net new ARR, this would likely represent upside to our medium-term forecast. We believe that Annapurna, Rubrik's new solution designed to more efficiently unlock unstructured customer data for AI use cases, is likewise nascent and would represent potential incremental upside to medium-term forecasts.

Limited Comments on Long-Term Model: Management offered limited comments on Rubrik's financial model, with some updates to the company's long-term model, but no near- or medium-term targets. That said, we leave the event incrementally confident in Rubrik's model, particularly around future non-GAAP operating margin expansion. First, management did not provide any ARR or revenue growth targets, but outlined a 2029 TAM (inclusive of identity and AI) of \$125 billion growing at a 20% CAGR. Broadly, we think this TAM CAGR is demonstrative of Rubrik's longer-term growth potential and can support ARR growth of 20%+ y/y over the next several years. Second, management stated that the cloud transformation and customer migrations to RSC will be largely complete by the end of FY27, and management expects to achieve a cloud ARR mix of 90% in the next few quarters, after which cloud mix increases will taper off. Management added that investors should expect greater alignment between subscription ARR and total revenue growth rates going forward. Third, management updated the long-term financial model (initially offered pre-IPO), which included raising long-term gross margin target from 75-80% to 77-82%, and lowering R&D as a percentage of revenue from 14-17% to 14-16%. Further, management raised its long-term Non-GAAP operating margin target from ~20% to 20%+ and maintained its FCF margin target of 25%+. Management added that operating margin improvements are currently at an inflection point, and that Rubrik should achieve breakeven non-GAAP operating margins in FY27, which is in line with our/consensus FY27 operating margin estimates. Management stated that they will likely retire subscription ARR contribution margin as a metric at the end of FY27. Lastly, management stated that they will bring SBC as a percentage of revenue down over time, and will lower share dilution to the low-single-digit range as they work toward GAAP profitability. **Net, management's comments do not suggest any material positive or negative near-term changes to our model,** though we are

incrementally positive on Rubrik's operating margin expansion opportunity, and envision upside tension to our out-year operating margin estimates.

Veeam – Well-Positioned, Alongside Rubrik

We hosted a call with Veeam management as part of BMO's Cybersecurity Virtual Event Series, and we offer brief highlights from our discussion below. Veeam is a leading backup and data security vendor that offers a growing suite of cyber resilience and AI capabilities. Veeam is the market share leader in IDC's data replication and protection category, and the company serves over 550k customers, including the majority of the Global 2,000. Veeam generates ARR of \$2.1 billion growing 18% y/y, inclusive of subscription ARR of \$1.8 billion growing 26% y/y. Veeam management stated that its Resilience business has an adjusted EBITDA margin of over 25% on a TTM basis.

Positioned for the Agentic Era: Similar to Rubrik and other leading backup vendors, Veeam is increasingly positioning its platform as a data control point that equips customers to better handle the scale, autonomy, and machine speed of agents, and instills data and AI trust in customers' AI tech stacks. Growing data volumes and expanding enterprise agent deployments, including over-privileged agents, are driving a greater focus on cyber resilience, in our opinion. Veeam's differentiated products, according to management, include the DataAI Command Graph, which aggregates live and backup data as nodes in a unified graph. This solution provides customers with granular context that travels with underlying data, and enables precision remediation, among other use cases. Intelligent ResOps is a new extension to the Command Graph that enables more intelligent and effective restores of specific workloads, starting with M365. We believe that the reach and prioritization of backup platforms will continue to expand as data becomes increasingly valuable in the agentic era.

Insulated from Hardware Dynamics: Veeam is software-only, and its licenses are fully flexible and portable, meaning that customers' licenses can move with their underlying data; i.e., data migrated from on-premises to the cloud can be underwritten by the same Veeam license. Thus, customers do not need to re-buy licenses or provision new appliances as infrastructure preferences evolve. As a result, management commented that Veeam is insulated from rising hardware costs, and is not seeing demand destruction or elongated sales cycles. Veeam's sales cycles are typically 6-9 months. Management added that DSPM capabilities integrated from its Securi AI acquisition enable customers to reduce redundant or obsolete backup data, which yield savings that are often used to fund additional Veeam licenses. DSPM, data observability, and recovery orchestration, and AI more broadly, are serving to expand Veeam's TAM, according to management. Management stated that they expect Veeam's early AI pipeline to start to convert to ARR in 2H CY26, and more meaningfully in CY27, which is similar to our covered best of breed security names, in our judgment. We believe that competitive dynamics in the backup market are fairly stable, and Veeam management highlighted that win rates in competitive PoCs are 60-65% vs. Rubrik, slightly higher vs. Commvault and Cohesity, and ~90%+ vs. legacy vendors like Dell and IBM. We believe that future displacement opportunities remain for leading vendors like Veeam and Rubrik.

Datadog – Expanding Portfolio

We attended DDOG's annual DASH conference and spent time on the show floor. DDOG continues to expand its platform with a clear focus on Bits AI, DDOG's agentic workflow engine embedded across observability, security, and development workflows. Bits is evolving into an autonomous operations layer, and we think this progression toward a more unified, control-oriented platform could further strengthen DDOG's positioning as an observability leader.

Lots of Bits: We thought the key theme from DASH was Bits AI evolving from an investigation tool, historically focused on alert-driven root-cause analysis and guided troubleshooting workflows that required human intervention, toward autonomous operations. Specifically, Bits is expanding across the DDOG stack, including infrastructure, development workflows, data analysis, agent evaluation, and security. We also think Bits' added functionality reflects a broader shift in DDOG's positioning from

observability toward a unified operational control layer across increasingly complex, AI-driven systems. On the show floor, we heard positive remarks regarding Bits adoption, with investigation and root-cause analysis capabilities driving adoption for APM and infrastructure customers. We were also encouraged by early traction in Bits Chat, which we view as an increasingly important interface layer for interacting with the platform. That said, we note adoption remains early relative to the overall customer base, and it is still unclear how much incremental consumption this drives versus improving productivity within existing workflows. Currently, 3,000+ customers are using Bits investigations, with more than 100,000 investigations to date. Over time, we think Bits AI can evolve into a broader control layer for the DDOG platform, leveraging data and context across the stack to automate workflows. We think this expanded role could drive incremental platform consumption as usage scales across workflows, supporting deeper engagement, higher product attach, and incremental spend per customer.

Agentic Monitoring Focus: Alongside Bits AI, DDOG is expanding further into the agent governance and monitoring layer, including AI agent visibility. DDOG introduced Agent Console, which provides centralized monitoring for AI agents and coding tools with visibility into usage, spend, and overall agent activity across the organization. We think inclusion of cost-oriented metrics could drive greater transparency and cost control as usage scales. DDOG also expanded Agent Observability capabilities, enabling customers to develop, monitor, and iterate on agents, including tracking usage patterns and evaluating performance across workflows. While still early, we heard from partners that this could become a more defined use case over time and think this aligns with broader enterprise trends toward managing AI usage and cost as agent-driven workflows scale. Net, we believe DDOG's observability-led approach to agent usage, performance, and cost visibility could position the company well relative to more fragmented open-source or point solutions, particularly as customers look to standardize monitoring across both traditional workloads and emerging AI systems. Over time, we think this could contribute to incremental ARR per customer as AI workloads scale.

Logs Expanding: We think DDOG is expanding Logs into a broader data platform strategy centered around more flexible, unified data access. DDOG introduced Federated Logs, enabling querying across external data sources such as databases, data lakes, and warehouses without full ingestion. Overall, DDOG is building a more flexible logging architecture, where Flex Logs serve core ingestion use cases and Federated Logs extend external data access. DDOG also announced Bring Your Own Cloud (BYOC), which allows customers to run Datadog in their own cloud environment, and we think is particularly relevant for regulated environments where data residency and control are critical. Broadly, we think these enhancements may help mitigate logging cost and scalability concerns, particularly as data volumes grow, though we would note that increased flexibility could reduce ingestion-driven consumption in some use cases. From a competitive perspective, we think DDOG's evolving logs architecture positions it well relative to legacy platforms such as Splunk, where cost has been a key pain point, and versus open-source alternatives such as Grafana or Elastic, which have scaling issues in our opinion. Overall, we think scale becomes increasingly important as AI workloads drive growth in data volumes and require more scalable, flexible data architectures.

Security Less of a Spotlight: We think security was somewhat less of a focus at DASH relative to areas such as Bits AI and broader AI platform narrative. That said, DDOG continues expanding its security capabilities, with increasing focus on securing AI-native workloads and agent-driven environments. DDOG highlighted enhancements including AI Guard, designed to address emerging AI-related risks such as agent misuse and prompt-based attacks, alongside agent discovery and a runtime prioritization engine that focuses attention on higher-risk vulnerabilities rather than static alerting. We think these updates reflect a shift toward more dynamic, AI-aware security models as enterprises deploy agent-based workflows and LLM-powered applications. Bits AI is also expanding into security use cases, including automated investigation and triage through offerings such as Bits for Security, which can operate across both Datadog and non-Datadog environments. We believe DDOG's security portfolio will become increasingly important as AI agents introduce new attack surfaces and require more integrated governance.

Notes on Competition: We heard largely positive commentary on DDOG's competitive positioning on the show floor, though we acknowledge home court advantage. We think DDOG remains one of the most

comprehensive observability platforms, particularly relative to open-source and AI-native alternatives such as Grafana and Chronosphere. Feedback was that customers attempt to build open-source solutions but often encounter complexity, scalability, and maintenance challenges, with many returning to DDOG. On the negative side, cost remains as a key concern, particularly at scale. We think increasing system complexity driven by AI workloads further reinforces DDOG's positioning, as integrated platforms become more critical relative to fragmented DIY solutions. Overall, we think DDOG's competitive advantage is driven by its full-stack capabilities, ease of use, and faster time to value, which often outweigh cost considerations in more complex environments. Net, we think larger and more sophisticated organizations will likely have some amount of open sources type of solutions though we think DDOG will have significantly larger share of wallet.

Partner Ecosystem Growing: We thought the partner ecosystem was more visible at DASH, reflecting a growing role across both implementation and ongoing services. Feedback was that partners are increasingly involved in deal design and deployment, particularly as platform complexity expands across logs, security, and AI-related workflows. Channel-influenced ARR has increased to ~15% of DDOG's ARR as of FY25, which we think reflects increasing partner involvement and suggests room for further channel expansion over time. We believe that partners are building incremental services on top of DDOG, including managed offerings and value-added capabilities. For example, certain partners are positioning themselves as a service layer above DDOG, providing managed services and additional functionality beyond the core product. We think this could support broader adoption in more complex enterprise environments, particularly where customers require ongoing operational support and customization.

Raising Target Price: DASH reinforced our view that DDOG's continued platform expansion will drive durable growth even in the face of incremental competition from low-cost DIY solutions. In particular, we come away impressed with the early stages of Bits AI, which we think can serve as an autonomous operations and control layer over time. Net, we are raising our target price from \$220 to \$260. Our previous target price of \$220 is based on 15x-16x EV/FY27E revenues, 57x-58x EV/FY27E FCF and ~2.1-2.2x (EV/FCF)/revenue growth. Our new target price of \$260 is based on 18x-19x EV/FY27E revenues, 68x-69x EV/FY27E FCF and ~2.5-2.6x (EV/FCF)/revenue growth. We retain our Outperform rating.

Exhibit 4 - DDOG Analysis at Various Prices

Datadog, Inc. Analysis at Various Prices									
		Current	Target						
Market Price		\$232.00	\$195.00	\$255.00	\$260.00	\$265.00	\$300.00		
Premium to Current			(15.9%)	9.9%	12.1%	14.2%	29.3%		
Market Capitalization		\$84,618	\$71,123	\$93,006	\$94,830	\$96,654	\$109,419		
Debt		1,285	1,285	1,285	1,285	1,285	1,285		
Cash		(426)	(426)	(426)	(426)	(426)	(426)		
Enterprise Value		\$85,476	\$71,981	\$93,865	\$95,689	\$97,512	\$110,278		
EV/Rev	Metric								
FY2026	\$4,330	19.7x	16.6x	21.7x	22.1x	22.5x	25.5x		
FY2027	\$5,117	16.7x	14.1x	18.3x	18.7x	19.1x	21.6x		
EV/FCF									
FY2026	\$1,171	73.0x	61.5x	80.1x	81.7x	83.3x	94.2x		
FY2027	\$1,404	60.9x	51.3x	66.9x	68.2x	69.5x	78.6x		
(EV/Rev) / Rev Growth									
FY2026		0.75x	0.63x	0.82x	0.84x	0.85x	0.97x		
FY2027		0.63x	0.53x	0.70x	0.71x	0.72x	0.82x		
(EV/FCF) / Rev Growth									
FY2026		2.77x	2.33x	3.04x	3.10x	3.16x	3.57x		
FY2027		2.31x	1.95x	2.54x	2.59x	2.64x	2.98x		
(EV/Rev) / (Rev Growth + FCF)									
FY2026		0.37x	0.31x	0.41x	0.41x	0.42x	0.48x		
FY2027		0.37x	0.31x	0.40x	0.41x	0.42x	0.47x		

Source: BMO Capital Markets estimates, FactSet, Company reports

Exhibit 5 - Software Comps

Company Name	Ticker	EV/Rev		EV/FCF		Rev Growth		FCF Margins		EV/Rev to Rev Growth		EV/Rev to Rev Gr + FCF Mar.		EV/FCF to Rev Growth	
		CY2026	CY2027	CY2026	CY2027	CY2026	CY2027	CY2026	CY2027	CY2026	CY2027	CY2026	CY2027	CY2026	CY2027
Palantir Technologies Inc. Class A	PLTR	42.3x	29.1x	75.3x	51.5x	72.5%	45.2%	56.2%	56.6%	0.58x	0.64x	0.33x	0.29x	1.0x	1.1x
SailPoint, Inc.	SAIL	6.3x	5.3x	42.0x	28.8x	45.5%	18.2%	15.0%	18.6%	0.14x	0.29x	0.10x	0.15x	0.9x	1.8x
Cloudflare Inc Class A	NET	28.9x	21.0x	NM	NM	29.6%	27.9%	13.3%	15.2%	0.91x	0.75x	0.83x	0.49x	NM	NM
Shopify, Inc. Class A	SHOP	8.8x	7.1x	49.6x	36.2x	28.1%	24.3%	17.8%	19.6%	0.31x	0.29x	0.19x	0.16x	1.8x	1.5x
Netskope, Inc. Class A	NTSK	4.4x	3.5x	NM	37.9x	27.7%	26.0%	0.1%	7.6%	0.16x	0.13x	0.16x	0.10x	NM	1.5x
Snowflake, Inc.	SNOW	13.5x	10.8x	59.2x	44.0x	30.1%	25.8%	22.9%	24.5%	0.45x	0.42x	0.26x	0.21x	2.0x	1.7x
Oracle Corporation	ORCL	8.8x	6.2x	NM	NM	28.4%	41.1%	(38.9%)	(26.7%)	0.33x	0.15x	NM	0.43x	NM	NM
Datadog, Inc. Class A	DDOG	18.3x	15.2x	69.5x	56.4x	26.8%	20.8%	26.3%	28.9%	0.66x	0.73x	0.34x	0.32x	2.6x	2.7x
DigitalOcean Holdings, Inc.	DOCN	17.0x	11.2x	NM	61.1x	26.6%	51.4%	10.7%	18.3%	0.64x	0.22x	0.45x	0.16x	NM	1.2x
Rubrik, Inc. Class A	RBRK	8.6x	7.1x	47.5x	34.6x	26.3%	21.7%	18.1%	20.4%	0.33x	0.33x	0.19x	0.17x	1.8x	1.6x
Klaviyo, Inc. Class A	KVYO	2.3x	2.0x	14.7x	11.9x	23.2%	19.4%	15.9%	16.5%	0.10x	0.10x	0.06x	0.05x	0.6x	0.6x
Crowd Strike Holdings, Inc.	CRWD	27.9x	22.9x	93.1x	71.0x	23.3%	21.7%	30.0%	32.3%	1.20x	1.06x	0.52x	0.42x	4.0x	3.3x
AvePoint, Inc. Class A	AVPT	3.9x	3.2x	18.8x	15.0x	22.2%	20.2%	20.8%	21.6%	0.18x	0.16x	0.09x	0.08x	0.8x	0.7x
Zscaler, Inc.	ZS	5.1x	4.4x	21.5x	17.3x	20.9%	16.6%	24.0%	25.6%	0.25x	0.27x	0.11x	0.10x	1.0x	1.0x
ServiceNow, Inc.	NOW	6.4x	5.4x	19.2x	15.3x	22.0%	18.6%	33.2%	35.0%	0.29x	0.29x	0.12x	0.10x	0.9x	0.8x
Palo Alto Networks, Inc.	PANW	16.6x	14.2x	44.3x	36.4x	22.4%	17.2%	37.5%	38.9%	0.74x	0.82x	0.28x	0.25x	2.0x	2.1x
Braze, Inc. Class A	BRZE	2.4x	2.0x	24.3x	16.7x	21.9%	17.0%	9.7%	12.1%	0.11x	0.12x	0.07x	0.07x	1.1x	1.0x
SentinelOne, Inc. Class A	S	3.5x	3.0x	43.9x	23.3x	20.0%	17.8%	8.0%	12.8%	0.18x	0.17x	0.13x	0.10x	2.2x	1.3x
Cellebrite DI Ltd.	CLBT	4.9x	4.1x	16.0x	13.2x	19.4%	17.5%	30.4%	31.3%	0.25x	0.24x	0.10x	0.08x	0.8x	0.8x
monday.com Ltd.	MNDY	2.0x	1.7x	10.3x	8.4x	19.4%	16.1%	19.5%	20.6%	0.10x	0.11x	0.05x	0.05x	0.5x	0.5x
UFrog Ltd.	FROG	14.1x	12.0x	59.0x	46.6x	19.0%	17.4%	23.9%	25.8%	0.74x	0.69x	0.33x	0.28x	3.1x	2.7x
Atlassian Corp Class A	TEAM	3.4x	3.0x	13.2x	10.4x	18.7%	15.6%	25.9%	28.6%	0.18x	0.19x	0.08x	0.07x	0.7x	0.7x
HubSpot, Inc.	HUBS	2.3x	2.0x	11.2x	10.0x	18.4%	15.6%	20.4%	19.9%	0.12x	0.13x	0.06x	0.06x	0.6x	0.6x
Guidewire Software, Inc.	GWRE	6.0x	5.2x	25.3x	20.4x	19.4%	15.8%	23.9%	25.6%	0.31x	0.33x	0.14x	0.13x	1.3x	1.3x
MongoDB, Inc. Class A	MDB	9.4x	8.0x	49.8x	41.1x	20.4%	18.0%	18.9%	19.4%	0.46x	0.44x	0.24x	0.21x	2.4x	2.3x
AppFolio Inc Class A	APPF	5.2x	4.5x	21.1x	17.5x	17.8%	16.8%	24.7%	25.5%	0.29x	0.26x	0.12x	0.11x	1.2x	1.0x
Varonis Systems, Inc.	VRNS	4.7x	3.9x	33.0x	21.6x	17.8%	16.3%	14.1%	18.3%	0.26x	0.22x	0.15x	0.11x	1.9x	1.2x
Workiva Inc. Class A	WK	2.6x	2.3x	13.1x	10.3x	17.5%	15.6%	20.0%	22.1%	0.15x	0.15x	0.07x	0.06x	0.8x	0.7x
CoStar Group, Inc.	CSGP	3.7x	3.3x	25.8x	20.0x	17.1%	12.3%	14.3%	16.4%	0.22x	0.27x	0.12x	0.11x	1.5x	1.6x
Gitlab, Inc. Class A	GTLB	3.2x	2.7x	16.2x	13.5x	17.4%	15.4%	19.5%	20.3%	0.18x	0.18x	0.09x	0.08x	0.9x	0.9x
Microsoft Corporation	MSFT	8.1x	6.9x	52.5x	53.0x	16.8%	17.4%	15.5%	13.0%	0.46x	0.40x	0.25x	0.23x	3.1x	3.1x
Amplitude Inc Class A	AMPL	1.8x	1.5x	36.9x	24.6x	16.7%	15.5%	4.8%	6.3%	0.11x	0.10x	0.08x	0.07x	2.2x	1.6x
Dynatrace, Inc.	DT	4.9x	4.3x	18.8x	16.0x	16.1%	14.6%	26.2%	26.9%	0.31x	0.29x	0.12x	0.10x	1.2x	1.1x
Unity Software, Inc.	U	5.2x	4.6x	20.7x	17.7x	15.3%	14.3%	25.3%	26.0%	0.34x	0.32x	0.13x	0.11x	1.4x	1.2x
Fastly, Inc. Class A	FSLY	4.1x	3.7x	63.9x	44.7x	15.1%	11.3%	6.4%	8.2%	0.27x	0.32x	0.19x	0.19x	4.2x	3.9x
Fortinet, Inc.	FTNT	12.8x	11.6x	37.6x	33.7x	14.8%	10.6%	34.1%	34.4%	0.87x	1.09x	0.26x	0.26x	2.5x	3.2x
Freshworks, Inc. Class A	FRSH	2.0x	1.7x	7.3x	6.2x	14.6%	14.5%	27.3%	28.2%	0.14x	0.12x	0.05x	0.04x	0.5x	0.4x
Elastic NV	ESTC	2.9x	2.6x	14.4x	11.5x	15.5%	14.3%	20.4%	22.3%	0.19x	0.18x	0.08x	0.07x	0.9x	0.8x
Twilio, Inc. Class A	TWLO	5.3x	4.9x	28.4x	24.7x	15.0%	9.8%	18.8%	19.7%	0.36x	0.50x	0.16x	0.16x	1.9x	2.5x
Procore Technologies Inc	PCOR	4.0x	3.5x	21.3x	16.9x	13.7%	13.2%	18.8%	20.9%	0.29x	0.27x	0.12x	0.10x	1.6x	1.3x
Autodesk, Inc.	ADSK	5.7x	5.2x	16.9x	15.1x	14.1%	10.7%	33.9%	34.2%	0.41x	0.48x	0.12x	0.11x	1.2x	1.4x
Veeva Systems Inc Class A	VEEV	5.5x	4.9x	12.8x	11.3x	14.3%	12.2%	43.2%	43.7%	0.39x	0.41x	0.10x	0.09x	0.9x	0.9x
Intuit Inc.	INTU	3.5x	3.1x	10.0x	9.2x	12.7%	11.5%	35.0%	33.9%	0.28x	0.27x	0.07x	0.07x	0.8x	0.8x
BILL Holdings, Inc.	BILL	1.9x	1.6x	8.0x	6.5x	12.5%	12.5%	23.1%	25.5%	0.15x	0.13x	0.05x	0.04x	0.6x	0.5x
Commvault Systems, Inc.	CVLT	4.3x	3.8x	21.7x	18.8x	12.1%	11.1%	19.6%	20.3%	0.35x	0.35x	0.13x	0.12x	1.8x	1.7x
Docobo, Inc.	DCBO	1.9x	1.8x	11.4x	9.3x	12.1%	10.3%	17.0%	18.8%	0.16x	0.17x	0.07x	0.06x	0.9x	0.9x
Workday, Inc. Class A	WDAY	3.1x	2.8x	10.6x	9.2x	11.8%	11.1%	29.7%	30.8%	0.27x	0.25x	0.08x	0.07x	0.9x	0.8x
Gen Digital Inc.	NLOK	4.3x	4.0x	14.1x	13.4x	11.6%	7.0%	30.4%	29.9%	0.37x	0.57x	0.10x	0.11x	1.2x	1.9x
Salesforce, Inc.	CRM	3.7x	3.4x	11.4x	10.4x	11.0%	9.5%	32.8%	32.7%	0.34x	0.36x	0.09x	0.08x	1.0x	1.1x
Mean		7.5x	6.2x	29.7x	24.3x	20.5%	17.9%	21.2%	23.0%	0.34x	0.34x	0.16x	0.14x	1.5x	1.4x
Median		4.9x	4.1x	21.3x	17.5x	18.4%	16.1%	20.4%	22.1%	0.29x	0.27x	0.12x	0.11x	1.2x	1.2x
Adobe Inc.	ADBE	3.6x	3.3x	8.9x	8.3x	9.6%	9.0%	40.3%	39.8%	0.38x	0.37x	0.07x	0.07x	0.9x	0.9x
Black, Inc. Inc.	BL	2.7x	2.5x	13.0x	10.8x	9.5%	10.8%	20.9%	22.8%	0.29x	0.23x	0.09x	0.07x	1.4x	1.0x
UiPath, Inc. Class A	PATH	2.4x	2.2x	10.4x	9.0x	10.5%	8.6%	23.5%	24.8%	0.23x	0.26x	0.07x	0.07x	NM	1.0x
Lightspeed Commerce Inc	LSPD	0.7x	0.6x	40.6x	12.5x	4.8%	11.4%	1.8%	5.1%	0.15x	0.06x	0.11x	0.04x	8.4x	1.1x
Okta, Inc. Class A	OKTA	5.6x	5.1x	20.4x	18.0x	9.8%	9.5%	27.6%	28.6%	0.58x	0.54x	0.15x	0.13x	2.1x	1.9x
Paylocity Holding Corp.	PCTY	3.2x	3.0x	13.1x	12.2x	8.8%	8.0%	24.7%	24.4%	0.37x	0.37x	0.10x	0.09x	1.5x	1.5x
Nable, Inc.	NABL	1.6x	1.5x	10.2x	9.5x	8.7%	8.4%	15.6%	15.6%	0.18x	0.18x	0.07x	0.06x	1.2x	1.1x
Box, Inc. Class A	BOX	3.3x	3.1x	11.7x	10.7x	8.8%	8.1%	28.7%	28.6%	0.38x	0.38x	0.09x	0.08x	1.3x	1.3x
DocuSign, Inc.	DOCU	2.3x	2.1x	7.1x	6.5x	8.8%	7.7%	32.5%	33.1%	0.27x	0.28x	0.06x	0.05x	0.8x	0.8x
Qualys, Inc.	QLYS	4.5x	4.2x	11.0x	10.3x	8.3%	7.0%	40.9%	40.9%	0.54x	0.60x	0.09x	0.09x	1.3x	1.5x
Asana, Inc. Class A	ASAN	1.9x	1.7x	14.0x	11.0x	8.9%	8.0%	13.3%	15.6%	0.21x	0.21x	0.08x	0.07x	1.6x	1.4x
Sprout Social, Inc. Class A	SPT	0.7x	0.7x	7.2x	5.8x	8.0%	7.3%	9.9%	11.9%	0.09x	0.09x	0.04x	0.03x	0.9x	0.8x
Tenable Holdings, Inc.	TENB	3.0x	2.8x	11.9x	10.7x	7.4%	7.2%	25.1%	26.0%	0.40x	0.38x	0.09x	0.08x	1.6x	1.5x
SAP SE Sponsored ADR	SAP	4.0x	3.6x	16.0x	14.0x	7.0%	11.7%	25.1%	25.6%	0.57x	0.31x	0.12x	0.10x	2.3x	1.2x
Akamai Technologies, Inc.	AKAM	5.3x	4.8x	NM	40.9x	7.0%	10.5%	(4.3%)	11.8%	0.75x	0.45x	NM	0.22x	NM	3.9x
Paycom Software, Inc.	PAYC	3.5x	3.2x	15.3x	14.2x	6.6%	7.1%	22.7%	22.9%	0.52x	0.45x	0.12x	0.11x	2.3x	2.0x
Zoom Communications, Inc. Class A	ZM	3.7x	3.5x	10.5x	9.7x	4.6%	4.0%	34.9%	36.2%	0.80x	0.88x	0.09x	0.09x	2.3x	2.4x
Check Point Software Technologies Ltd.	CHKP	3.9x	3.7x	9.2x	8.7x	3.3%	6.0%	42.3%	42.0%	1.18x	0.62x	0.09x	0.08x	2.8x	1.5x
Yext, Inc.	YEXT	1.2x	1.2x	18.3x	NM	1.7%	2.1%	6.8%	NA	0.71x	0.66x	0.15x	NM	10.7x	NM
Kaltura, Inc.	KLTR	0.9x	0.8x	14.3x	12.1x	1.6%	4.9%	6.0%	6.7%	0.55x	0.17x	0.11x	0.07x	9.2x	2.5x
PagerDuty, Inc.	PD	1.3x	1.3x	6.8x	5.7x	0.8%	2.7%	19.8%	23.1%	NM	0.48x	0.07x	0.05x	8.9x	2.1x
Domo, Inc. Class B	DOMO	0.7x	0.7x	20.0x	10.4x	0.5%	3.2%	3.5%	6.8%	1.50x	0.22x	0.18x	0.07x	42.2x	3.3x
Dropbox, Inc. Class A	DBX	3.5x	3.6x	9.4x	9.1x	(0.4%)	(0.2%)	37.8%	39.3%	NM	NM	0.09x	0.09x	NM	NM
Teradata Corporation	TDC	1.7x	1.7x	4.3x	8.2x	(0.6%)	1.8%	39.8%	20.3%	NM	0.94x	0.04x	0.08x	NM	4.6x
Rapid7 Inc.	RPD	0.2x	0.2x	1.4x	1.4x	(2.5%)	(0.2%)	15.6%	15.6%	NM	NM	0.02x	0.01x	(0.6x)	(6.2x)
Expensify, Inc. Class A	EXFY	0.3x	0.3x	4.7x	3.8x	(4.7%)	(0.4%)	5.6%	6.9%	NM	NM	0.32x	0.04x	(1.0x)	(9.4x)
C3.ai, Inc. Class A	AI	4.3x	4.2x	NM	NM	(21.3%)	2.6%	(57.7%)	(29.4%)	NM	NM	NM	NM	NM	NM

Coverage Universe

Company Name	Ticker	Analyst	Rating	Jun-10 Price	Target	Annual Div/Dist	Yield	Total Return	Mkt Cap. (mm)
Software									
Adobe Systems	ADBE	KB	Mkt	\$218.80	\$230.00	\$0.00	0.0%	5.1%	\$88,439
Atlassian Corp. Plc Class A	TEAM	KB	OP	\$89.20	\$105.00	\$0.00	0.0%	17.7%	\$22,636
Autodesk	ADSK	DJ	Mkt	\$205.57	\$262.00	\$0.00	0.0%	27.5%	\$43,375
Automatic Data Processing	ADP	DJ	Mkt	\$225.77	\$234.00	\$6.80	3.0%	6.7%	\$90,247
Bentley Systems	BSY	DJ	OP	\$30.57	\$45.00	\$0.28	0.9%	48.1%	\$9,287
Bill.com Holdings	BILL	DJ	Mkt	\$32.13	\$46.00	\$0.00	0.0%	43.2%	\$3,200
BlackLine	BL	DJ	Mkt	\$27.93	\$36.00	\$0.00	0.0%	28.9%	\$1,638
Check Point Software	CHKP	KB	OP	\$123.12	\$135.00	\$0.00	0.0%	9.6%	\$12,833
CrowdStrike Holdings	CRWD	KB	OP	\$691.53	\$745.00	\$0.00	0.0%	7.7%	\$176,036
Datadog	DDOG	KB	OP	\$234.24	\$260.00	\$0.00	0.0%	11%	\$83,380
Dynatrace	DT	KB	OP	\$40.37	\$43.00	\$0.00	0.0%	6.5%	\$11,767
Expensify	EXFY	DJ	Mkt	\$1.28	\$1.25	\$0.00	0.0%	(2.3%)	\$123
Fortinet	FTNT	KB	Mkt	\$145.06	\$117.00	\$0.00	0.0%	(19.3%)	\$106,278
HubSpot	HUBS	KB	OP	\$186.43	\$230.00	\$0.00	0.0%	23.4%	\$9,549
Intuit	INTU	DJ	OP	\$276.91	\$412.00	\$4.80	1.7%	50.5%	\$75,746
Microsoft	MSFT	KB	OP	\$390.34	\$515.00	\$3.64	0.9%	32.9%	\$2,899,613
MongoDB	MDB	KB	OP	\$354.41	\$375.00	\$0.00	0.0%	5.8%	\$28,505
N-able	NABL	KB	Mkt	\$3.19	\$6.00	\$0.00	0.0%	88.1%	\$601
Navan	NAVN	DJ	OP	\$22.63	\$30.00	\$0.00	0.0%	32.6%	\$5,715
Netskope	NTSK	KB	OP	\$8.71	\$13.00	\$0.00	0.0%	49.3%	\$3,518
Okta	OKTA	KB	OP	\$117.50	\$120.00	\$0.00	0.0%	2.1%	\$20,423
Oracle	ORCL	KB	OP	\$184.10	\$220.00	\$2.00	1.1%	20.6%	\$529,481
PTC	PTC	DJ	OP	\$118.39	\$170.00	\$0.00	0.0%	43.6%	\$13,675
Palo Alto Networks	PANW	KB	OP	\$279.53	\$335.00	\$0.00	0.0%	19.8%	\$227,817
Paychex	PAYX	DJ	Mkt	\$99.27	\$103.00	\$4.76	4.8%	8.6%	\$35,567
Paycom Software	PAYC	DJ	Mkt	\$132.24	\$145.00	\$1.50	1.1%	10.8%	\$6,299
Paylocity Holding	PCTY	DJ	OP	\$108.23	\$143.00	\$0.00	0.0%	32.1%	\$5,795
Procore Technologies	PCOR	DJ	OP	\$42.20	\$69.00	\$0.00	0.0%	63.5%	\$6,368
Rubrik	RBRK	KB	OP	\$71.45	\$87.00	\$0.00	0.0%	21.8%	\$14,707
SAP SE	SAP	KB	OP	\$163.64	\$200.00	€1.96	1.4%	23.6%	\$201,032
SailPoint	SAIL	KB	OP	\$14.42	\$19.00	\$0.00	0.0%	31.8%	\$8,179
Samsara	IOT	DJ	OP	\$32.26	\$44.00	\$0.00	0.0%	36.4%	\$18,856
ServiceNow	NOW	KB	OP	\$103.08	\$115.00	\$0.00	0.0%	11.6%	\$106,307
ServiceTitan	TTAN	DJ	OP	\$68.24	\$103.00	\$0.00	0.0%	50.9%	\$6,510

KB: Keith Bachman | DJ: Daniel Jester

Stock Rating System: OP - Outperform; Mkt - Market Perform; Und - Underperform; R - Restricted; NR - Not Rated; (S) -Speculative.

Source: BMO Capital Markets

Coverage Universe

Company Name	Ticker	Analyst	Rating	Jun-10 Price	Target	Annual Div/Dist	Yield	Total Return	Mkt Cap. (mm)
Telos	TLS	KB	Mkt	\$4.53	\$5.00	\$0.00	0.0%	10.4%	\$339
UiPath	PATH	KB	Mkt	\$10.65	\$13.00	\$0.00	0.0%	22.1%	\$5,518
Vertex	VERX	DJ	Mkt	\$12.11	\$17.00	\$0.00	0.0%	40.4%	\$1,960
Workday	WDAY	DJ	OP	\$130.53	\$182.00	\$0.00	0.0%	39.4%	\$32,241
Workiva	WK	DJ	OP	\$49.13	\$70.00	\$0.00	0.0%	42.5%	\$2,757
Zscaler	ZS	KB	OP	\$126.11	\$178.00	\$0.00	0.0%	41.1%	\$20,393
salesforce.com	CRM	KB	OP	\$166.45	\$215.00	\$1.76	1.1%	30.2%	\$136,323

KB: Keith Bachman | **DJ:** Daniel Jester

Stock Rating System: OP - Outperform; Mkt - Market Perform; Und - Underperform; R - Restricted; NR - Not Rated; (S) -Speculative.

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Rating category	BMO rating	BMOCM US Universe*	BMOCM US IB Clients**	BMOCM US IB Clients***	BMOCM Universe****	BMOCM IB Clients*****	StarMine Universe~
Buy	Outperform	57.6 %	24.2 %	60.0 %	60.7 %	67.9 %	57.7%
Hold	Market Perform	40.5 %	23.0 %	40.0 %	38.2 %	32.1 %	37.5%
Sell	Underperform	1.9 %	0.0 %	0.0 %	1.1 %	0.0 %	4.8%

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Prior BMO Capital Markets Rating System

(April 2013 - October 2016)

http://researchglobal.bmocapitalmarkets.com/documents/2013/rating_key_2013_to_2016.pdf

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